FASE: AI and Blockchain

BGIN Block 15 · Georgetown University Capitol Campus, 111 Massachusetts Avenue NW, Washington, D.C.

Date	15 October 2026
Room	Room A (2424)
Published time	14:00–15:30
Workstream	ai-blockchain
Status	Draft for working-group review. Source: closed captions.
Rule	Chatham House Rule. Information may be used without revealing the identity or affiliation of speakers or other participants, directly or indirectly.

This is a session record, not a transcript. Substantive discussion is retained with uncertainty and disagreement made explicit. Reported claims are not verified findings. Candidate agreements require working-group confirmation before use as decisions. Actions omit personal owners and identifying roles.

Agreements

The following sentences stand on their own. These are candidate agreements and reported points of convergence for working-group review. Inclusion does not establish consensus, verify a technical claim, or record formal adoption. The working group must confirm each decision before it is cited as such. Claims that were only discussed, including figures and alternatives that were not adopted, remain in full under Discussion.

The session document and Discourse are the capture path: questions, ideas, resources, Proof of Control, the Cloudflare note, the SaaS-liability charts, and a later write-up from the recording. The deck and the document go to the chat and the website.

Proof of Control (Advanced AI Society; RFC; Linux Foundation and related communities) is in scope for the research. Bringing that attestation / fiduciary-duty community into BGIN was welcomed.

x402 is the settlement rail under discussion (Linux Foundation). AP2 is the permissioning rail. They were treated as a pair, not as competing BGIN choices.

Demonstrated value, as the briefing's frame and not a voted finding: security, analytics, compliance, and interfaces. Decentralized compute, verifiable inference, and agent identity were classed as emerging. Agent-originating payments, agent tokens, and DeFi agents were classed as speculative.

FASE's near-term method is short papers. A decentralized-compute short paper and a stablecoin short paper already exist from the last couple of months.

Topic shortlist left on the table, with a preference but no vote for illicit-finance measurement first: lexicon; agent-identity crosswalk; machine-initiated payments and AML/CFT; illicit-finance measurement. Sandbox design was the paper proposed for agent payments.

AI-exploit work crosses over to the Security Agent / community vulnerability session: share typologies

with maintainers without publicizing the bug. Collaboration was accepted in principle.

The next day on this track: industrial design of digital assets; decentralized compute market structure; stablecoin pools.

Documents considered

The session referred to the following documents, repositories, and standards. Bibliographic identifications and factual checks added during review are marked as editorial clarifications; they do not imply that the links were spoken or that the meeting adopted the findings. Names of the people who introduced the material are omitted.

Discourse thread for this session: https://bgin.discourse.group/t/block-15-fase-ai-blockchain-session-thread/1075 — discussed as the place for results, the recording-based report, and the session document.

Proof of Control, Advanced AI Society, described as an RFC and as relevant to agent control and accountability: https://advancedaisociety.org/proof-of-control.

KYA-OS, discussed with four enforcement surfaces (MCP tool bindings and edge checks; compute; HTTP and WebSocket transports): https://www.kya-os.org/.

Session collaborative document (QR in the room; to be reposted in chat and on the website). URL not spoken.

Deck, to be shared. Recording, to feed the report.

Standards and specs named in substance: ERC-8004, EIP-3009, x402, AP2, MCP, MPC.

Cited external work: a Morgan Stanley agent market-cap projection (~$5 billion to ~$47 billion); Decentralized Identity Foundation trusted-agent group; Linux Foundation; Coinbase CDP as the facilitator example; Fireblocks site as checked in the room.

BGIN short papers named: decentralized compute, and a stablecoin paper.

No posters.

Discussion

The following is the substance of the session. It preserves claims, figures, alternatives, and objections. Discussion does not establish a decision. Any candidate agreement requires explicit working-group confirmation.

Workstream: ai-blockchain (FASE session; captions also sound like FASE/FAC).

The session compared expectations from roughly a year to a year and a half earlier (a Denver keynote on AI and blockchain) with what the briefing said is actually happening. The framing was successes, failures, gaps for regulators, policymakers, and private organizations, and what is working. A shared session document (QR) was opened for questions, ideas, resources, and comments. The same document was described as serving related sessions over the two days. Discourse was described as the place that would gather the session document, the presentation, and the discussion. The deck was to be shared. Participants were invited to interrupt.

Expectations that the briefing said did not hold Software that can own and spend, with a private key as the enabler, and agents passing identity checks: rails exist, but x402 "full payments" were described as only about $4,000–$5,000 to $11,000 per month.

Micro-payments: treated as true. Average x402 micro-transaction size was given as on the order of 0.0006 cent (caption: "0.0006 to a cent").

Verifiable on-chain identity and reputation: ERC-8004 exists, but only about 600,000 self-declared profiles, described as not significant for a mass agent economy. Later in the same session ERC-8004 was also described as "a thousand entries" and still not enough. Those two counts conflict; see Source clarifications and open checks.

Decentralized learning and training: some examples exist, including Sentient and a second project [unverified: "language"], but they were described as far below frontier scale and even below open-source scale.

Agent market capitalization: a Morgan Stanley report from a couple of years ago was cited for a rise from about $5 billion to $47 billion. The briefing said a broader agent market has moved into the trillions over something like 10–15 years, while tokens in this (crypto agent) market have shrunk. A separate on-chain series was given later: agent value on chain from about $25 billion down to about $3.9 billion.

Blockchain as checks and balances for agents: agents were described as targets and as an attack surface against blockchain. "Banker" agents were said to have signed huge transactions, with funds lost more than once. Identifier and management rails exist, but agents were characterized as working against blockchain rather than for it.

The symbiosis thesis (blockchain supplies rails, identification, accounting, and settlement; AI supplies volume, up to hundreds of thousands of transactions a day versus a few human transactions a month) was called theoretically possible and not what the data show now. Web2 firms coming toward blockchain, and where narrative and money sit, were flagged as open context.

Scale claims for the current market The "industry" was put at about $2.5 billion. This was not tied to a single defined metric.

x402: about 109 million transactions (caption: "109 2 million") and about $42–53 million settled. Those totals can sit beside the much smaller "full payments" monthly range only if most volume is micropayments; the briefing did not reconcile the series.

Attacks up, with a figure of about 294. AI-related crypto scams and scam revenue were said to have increased. No denominator or source name was clear in the caption.

Zero agent-specific transaction rules in force. AP2 together with x402 was suggested as a useful place to act, with little such use observed, especially AP2 combined with x402.

A timeline was sketched only at a high level: industry standards, US regulation, international standards, and incidents are all moving at once. Incidents were said to have increased even as regulation improved.

No major rule or policy on agent payments was described as in force and helpful.

Map of about 100 ventures and 14 functions Blockchain-to-AI functions named: compute and inference; model networks; data and memory; verifiable AI; provenance and IP.

AI-to-blockchain areas called the most valuable: security, analytics, and compliance; UX and copilots; and convergence (each side supporting the other). Also listed, with a weaker verdict: agent payments; agent identity; frameworks; tokens and DeFi (described as not having done well); a narrative layer of agent meme coins that rise and fall quickly and are not expected to last. Some L1s were kept in the narrative layer because they followed an AI story. One chain that had been positioned as AI-purpose was described as later deciding it should simply be a sound L1, with security first. NEAR Intents and a payments network for AI agents were described as off-trend but still building buffer technology. NEAR Intents was later credited with significant daily revenue and with NEAR looking better on price than peers for that reason. A revenue figure higher than the slide was said to be a private operator number and not fully disclosed.

Of the ~100 ventures, meme coins and meme agents excluded: 62 have a token, against an expectation of nearly 80% or 90%. Only 24 were described as blockchains. Named examples of AI-oriented chains: [unverified: "AI Sahara"], Bittensor (caption: "bit tensor" / "beer"), ICP. Their aims were frameworks, payments, and settlement. The largest group was described as Web2 companies supporting the industry (chain analytics, UX, security), not operating on chain, plus SDKs and frameworks. Open point: how those support services change the efficacy of the chains.

A verifiable-AI example using trusted execution environments was given as [unverified: "follow network"], with an unnamed partner that stood up agents which die and are repopulated with new tokens. Cloudflare NET Dollar was raised from the floor. The briefing did not want to classify it yet, on the view that x402 would be the payment rail anyway. The floor view was that it fits the Web2 bucket and is explicitly agent-facing. It was left as worth a deeper look and as something to note in the session document.

Compute and training economics Demand for decentralized compute and training was called small, and token incentives widely out of line with revenue. One network [unverified: "a cash," possibly a compute marketplace] was given as about $253,000 revenue in a single quarter against millions of dollars a year in emissions. That might be weak commercialization rather than a structural fact; the briefing did not decide. Other teams were described as winning a client and then filling the job with pooled centralized compute, paying operators in emissions. The networks were called leaky: emissions exceed revenue. Bittensor: about $370 million a year in emissions and about $17 million in revenue. Verifiable AI, including work associated with NEAR AI, was described as still emerging.

Where AI-to-blockchain was called effective Security tooling that finds high-severity bugs. A recent case was described as recovering or retracing about $387 million with new AI tooling [parties

unverified: "big gad" with "analysis"].

About 30% recall on AI-completed audits.

Agent-oriented forensics: two major launches associated with Elliptic, [unverified: "Decode"], and TRM. More coming. Some tools are internal and not yet for consumer use.

AI-generated interfaces used to help teams launch faster. Expected side effect: more bugs and a higher chance of exploitation. Signing keys were called a serious risk for people and a new class of risk for agents.

Convergence rails x402 was described as now passed to or housed at the Linux Foundation. AP2 was discussed as contributed to the FIDO Alliance. Editorial confirmation: `https://ap2-protocol.org/` Transaction counts are large; value settled is not. Many agent frameworks no longer exist in a maintained or meaningful form.

Token prices AI-related tokens were said to have fallen about 40% if NEAR is included in a ~30-name set, and about 36% if NEAR is excluded. Ethereum was described as about a 40% year-on-year decline and Bitcoin about 28%. Including NEAR and ICP, the cohort was described as off Bitcoin by about 40% (caption: "feeding," which may mean fading). The briefing allowed that this could be market beta, and pointed to the next slides on emissions versus revenue. Render (decentralized rendering workloads) was given as market cap divided by revenue implying about 607 times over price relative to revenue. NEAR was called better priced on the revenue the briefing could see, with the caveat on undisclosed private-operator revenue. Another organization [unverified: "either," possibly a compute network] was called a rare full circular economy; whether it has external transactional flows was not clear in the caption.

x402 flow and three policy gaps Flow as briefed: the client hits a resource server; the server answers with a payment requirement using EIP-3009 off chain; the client retries or submits; a facilitator (example given: Coinbase CDP) verifies, validates, and settles; the payment is broadcast and gas is paid.

Three questions the briefing said are not being faced:

1. Who authorized the agent to pay? A key signature with no broker and no KYC was called a gap.

2. Is the facilitator an obliged intermediary?

3. Finality and bad purchases: whose funds, and what recourse, when settlement can be seconds and there is no chargeback?

Ticket sizes are tiny, but the briefing said that at something like 10,000 payments a day the exposure grows. AP2 was distinguished as the legal permissioning layer (a human authorizes); x402 as settlement. The expected design is the two together, or x402 plus a card-issuer path. Mastercard's bank work was mentioned as that second pattern (caption: "Moscar").

Circular compute economies Pattern described: token treasury emits to validators or compute operators; operators do the work and collect fees from external customers; buyback and burn returns value. Called circular "for the most part," and important because clients are outside blockchain. The briefing called this the first time external payment for a real service is flowing in, and argued that the useful blockchain firm brings outside money in and then handles settlement, treasury, and custody.

x402 trajectory and agent value Settlement transaction counts were described as having climbed steeply and then flattened. Into a December reading, the last about nine months added only on the order of 60–90 million transactions, while the prior about three months accounted for about 70% of cumulative count. Settled value was called insignificant. Possible reason offered: fewer agents being launched on chain. On-chain agent value was restated as down from about $25 billion to about $3.9 billion.

What was called a real benefit versus speculative Demonstrated: security, interfaces, on-chain analytics. Emerging and worth focus: decentralized compute, expected over time to cut training and inference cost at scale; verifiable and private inference (NEAR AI, and a TEE-based open model network [unverified: "all network" / the earlier "follow network"]); open model networks. Agent identity exists with little use. Called speculative: agent-originating payments, agent tokens, and DeFi agents.

The earlier thesis that an agent would not use a card and would use a private key was described as inverted: card-based agent payments and x402 are both in market, and pure on-chain agent payments have not taken off. One offered reason: there is not enough data to recognize AI agents on chain, so activity is under-identified. The briefing refused to treat that as a measured result.

Floor additions:

Over about the last year and a half, the visible agentic use has been prediction markets more than payments. Polymarket agents were the example.

Before that, on-chain bots (sniping, pricing, MEV) already existed. Operators of upgraded versions of those bots do not want them labeled as agents.

Definition split: an "agent" versus an "AI agent." MEV bots were treated as agents with some intelligence, not as probabilistic AI.

An agent can sit on social accounts and never pay. An agentic payment means dealing with other agents or services. There may simply not be enough on-chain services to buy. Prediction markets were accepted as a narrow loop: social data in, settle in the market, pull funds to a treasury. That is not a general agent-to-agent service economy.

Proof of Control A contribution described Proof of Control, from the Advanced AI Society, as an initiative of about the last month, being pushed in the Linux Foundation and in other communities. It was added to the session chat and described as currently a request for comments. It was accepted as something to add to the research, and as a way to contribute. On the "who is on the hook" question,

Proof of Control was described as the place where AI-safety and security people are asking for a fiduciary duty or at least an attestation of who controls an agent, so there is a person lawyers can pursue. Bringing that community into BGIN was welcomed.

Exploit picture (about the last 12–15 months) AI was described as both exporting known bugs and helping close bugs, with more help than harm at a broad scale, while attacker capability has increased. Losses per incident are smaller and more frequent.

Value stolen was discussed against a $1 billion per year scale. Code-flaw dollar losses were described as up, in one breath "not significantly" and in another as more than the prior ten years combined. The caption does not support a single reading.

The number of code-flaw incidents was called substantial and consistent.

Total value was described as down over time.

Bridges and cross-chain systems were called continuing honeypots.

Social-engineering and key incidents were described as not much changed in character.

Median incident size was put at about $1 million in an earlier reference point, with a large drop after 2021, and a current median around $430,000, attributed to AI being used against code flaws that already exist.

A case from about four or five days before the meeting: Veria Labs reported an XRP Ledger vulnerability with a theoretical minting capacity valued at approximately $29 trillion. The issue was fixed; this was not an observed theft or realized loss. It was described as large enough to have crashed the industry overnight if exploited, and as found, diagnosed, and closed. If it had paid out, the loss charts would have been dominated by that one event.

Four examples of an agent signing as a theft path:

Memory injection.

A testnet challenge that paid for a break, with a bounty heard as "$2086,000" (could be $208,600 or $2,086,000).

An oracle bug.

A trading agent that assigned transfers to about 40 new wallets, about $20,000 total.

Crypto as the rail for illicit AI Payment networks for unbanked or illicit services (the list given ran from pornography through weapons and drugs, compared with Silk Road) were said to be reappearing for AI outputs: image, text, documents, and related abuse. Crypto was called the number-one way those sites are paid. About 17–20 sites in one niche (caption: "photography, development, and production") were said to take crypto directly. Flow was compared to Silk Road and described as not treated with the same seriousness, with the caveat that the industry then was different, and a claim that token counts are as large or larger than Silk Road's. Regulators were urged to use analytics to find and shut

the sites. Scam revenue and AI-plus-crypto volume were called significant; illicit-service payments were called still growing.

Of 11 policy issues, the caption suggests final answers on about one, policy treatment of about six, and four still open. Later: four of the eleven have no owner for identity, mandates, tax, or disclosures. Themes named for regulators: accountability, identity, authorization, AML/CFT, and consumer protection. The policy dilemma as put: oversee too little and harmful uses consume legitimate users and firms, or write rules so early that the market cannot form.

Who is on the hook if an agent buys the wrong thing Question posed: should loss follow control of the keys, the capability, or the contract (the mandate)? If the agent exceeds the mandate, is it the user, the deployer/employer, or the model provider? If the agent is prompt-injected, the attacker or the wallet? If two agents transact and one defaults, who is the counterparty?

A contribution from an accounting and tax angle: people talk about paying agents per action, but users already pay systems such as ChatGPT on a subscription (a ceiling around $200 was mentioned) with unlimited prompts. It is unclear who wants per-transaction agent payment. Blockchain might sit behind the service as the accounting record, with the amount decided after the fact. Few examples were acknowledged. The briefing agreed the rails fit, and that there are not enough agent services. A translator-agent example was used: the agent would pay for training and for payable compute (language or code) on protocols that exist but do not yet let agents settle fairly. Because payment need not be strictly real-time, a hold before settlement is possible. Against that, x402 has no chargeback. A lightweight substitute offered: a reverse purchase on the same rail (sell the good back, or a service reversal). The running hypothetical was a $1 coffee cup bought for $5,000.

On exceeding a mandate, one view in the room was that the smart-contract deployer should be accountable, because those contracts are short, take simple inputs, and are what broadcasts and moves the money. That immediately reopened an unsolved blockchain question: is the deployer, the developer, or the development firm accountable for contract failure? The briefing treated that as unsolved and now urgent because the same contracts would serve agents.

On prompt injection, the same view called the attacker the primary accountable party: a serious injection takes research and, usually, an engineer, and is willful. Deployers and wallets were not excused; they hold the value and should gain means to stop the attack. A second contribution: separate the inference layer from the agent runtime so reasoning, injected prompts, and bad outputs can be reviewed before execution. Extra token cost was accepted. The air gap should use a different model and a different information system from the executor. Culpability of a malicious attacker remains. An Alexa-style example was used: if a prompt injection reprices a future laptop to $5, chat logs show intent; the deployer, model creator, model maintainer, and wallet all have reason to improve; the person who attacked is still the one accountable. A system [unverified: "Gigbt Astra"] was described as checking the first inference again, on a similar token budget, before execution, without executing twice. The thesis stated was separation of information systems.

A blockchain-adjacent network [unverified: "open serve"] was offered for the research list. Its "braid" or

"brave" reasoning puts inference into a Mermaid graph, which was described as both a token-efficiency method and an extra audit that can catch prompt injection before runtime. The same gap was extended to data: until fully homomorphic encryption is available, placing a set in a vector database separates source language from what the model learns, which was identified with how RAG works.

Know-your-agent: who is bound Question: should KYA bind the legal person, the model, the software instance, or the mandate? A mandate as small as "buy this cup for $1" makes per-transaction KYA look micro, but it may be required. Further questions: do on-chain registries count as admissible compliance evidence; what does a signer need (a KYA token, a registry, an agent bank — the list was garbled); how does a firm tell its AML/CFT authority that it did what it could to know the counterparty; how many agents transact with no ERC-8004 record.

One view: bind the person, or a mandate the person gave. Counter-example: model poisoning is unsolved and the model is a black box; a poisoned model can leak on every transaction while the user of a system such as ChatGPT or Claude does not know the background. A further view: admissible evidence has to end at a real person, because that is what a court can use. Deployer versus user was left open (someone who deploys an agent others use, versus someone who only uses it). SaaS terms often push liability to the user; charts of that allocation were asked to be added to the session document. The distinction drawn: a closed SaaS payment stack can refund because it holds the environment; an agent deployed into open payment rails touches more money in more places, and the software can act. A news item from a couple of days prior was cited: JPMorgan Chase disallowed AI agents from operating on customer accounts. An internal-use path was described via Telstra: AI used inside the firm first, then a thin external version; if the internal system fails, the firm is in the frame first and may claim onward against the developer.

A collaboration between [unverified: "Ipp"] and FASE on KYA was floated, then qualified: there is not yet enough value in on-chain agent payments to justify the paper on payments grounds; an identity angle might still be worth it if the market grows.

KYA-OS The Decentralized Identity Foundation trusted-agent work was described as bridging into KYA and into KYA-OS (know-your-agent operating system), at kya-os.org. It was distinguished from a model: it is where the instance runs, hardware plus software, so two layers compete for accountability. A TEE failure on a private-AI service was the example: the operator can be culpable for hardware even if the model belongs to someone else. Model poisoning was the reason given for wanting the counterparty's model identified, not only an agent identity. An unapproved or implausible model (a toy parameter count was used) should be refuseable. Hardware accountability was not resolved: whether a cloud operator must be KYA'd, or an approved list is enough, or KYA metadata should carry model, operating mode, location, and how the endpoint is reached.

Four enforcement surfaces were read from kya-os.org:

Primary bindings at MCP tool calls, plus edge verification of tools allowed or not.

Compute, described as not the published surface: shell, file system, perhaps browser, with sandboxing.

Transports: HTTP and WebSockets, which can be bound into a KYA token.

A fourth surface was asserted but not clearly separated in the caption.

"Enforcement" was interpreted in the room as the places a credential can be checked because a trace exists, and equally as places where poison or compromise (data, model, or hardware leak) would wreck the output. KYA was argued to be more than sanctions and PEP screening: the counterparty should be one the firm is willing to deal with. The page's own language, "enforceable at the edge," was noted. It was treated as an interesting draft standard, not as adopted BGIN policy.

AML/CFT on machine-initiated payments Question: if an x402 facilitator sees payer, amount, and obliged entity, is the facilitator obliged, and how does that meet a mandate? Facilitator examples given: Coinbase and CDP. If the party in the flow is not comfortable being called a facilitator, how is compliance still done? Failure mode: at verify, settle, or broadcast, the amount or the gas can change upward. The user may not pay; the network or the facilitator might bear it. No chargeback. Open: should a facilitator have traditional-payment controls?

Session keys and MPC co-signing: do they count as shared control? The room separated MPC (multi-party computation) and session keys from MCP (model context protocol); the caption often says "NPC." No one present had split a key and given an agent a shard. That was called an interesting experiment, perhaps for community governance, not a known production pattern. The case under discussion was an x402 agent spending funds that sit under MPC. The floor view was that people have not trusted an agent with an MPC server. An alternative design: each person keeps an agent that does not hold a shard; the person delegates to a verifiable agent, with a threshold (a figure of under $100 was used) so the agent may answer an MPC challenge. A gambling hypothetical: an agent inside the MPC so a person does not sign every ticket above $500. Digital-asset firms already use MPC for custody; how that meets agents was proposed as a request for comment, including toward Fireblocks and similar firms. A NEAR-related use was described only as diagnosing which funds sit on which chains, and as intent-based payment, not as an agent inside the signing quorum. A live look at the Fireblocks site found an AI feature that reads wallet state and can automate a stated transfer (a $20,000 example was used), not an agent holding a key shard. Giving the agent a shard was called likely to recreate the same problem one layer down.

A pure key-holding agent example [unverified: "AI 16Z" / "AI sequency"]: a spoof or agent portfolio in agent meme coins. It was described as having claimed on the order of $25 million at the peak while the tokens had collapsed and the book had not been updated, leaving about $400,000 of token value. Keys were used to buy the meme coins directly. The position failed.

Sandbox and which gap to take Question: what would a regulatory sandbox for agent payments need to test? List offered: programmable compliance, freezing, travel-rule data, signed intents, micropayment licensing, and data and IP rights. The room noted the absence of regulators and

policymakers. Travel rule was deferred to the next day. A licensing or at least registration regime for agents was assumed for the sake of the question; limits were not specified. This was proposed as an FASE paper. US authorities, including the Federal Reserve, were said to be looking at agent payments. The DAO analogy was used: identify the thing, organize it, register it, license it, tax it. Called complicated and useful.

Risk-agenda question: which gap should FASE take first, and from which jurisdiction?

Illicit AI payments: should VASPs screen clusters of AI vendors that sell illegal generative uses? The view offered was yes, by analogy with a bank cutting off a customer.

Exploits: should pre-deployment AI testing be an expected control?

Standards bodies moving faster than regulators: how should BGIN engage, beyond writing papers and talking?

Four of eleven issues were restated as having no role on identity, mandates, tax, or disclosures, and as candidates for the sandbox. One per gap was the suggested pace.

The security-agent work was offered as the natural partner on AI exploits. A session the next day on community vulnerability and threat handling would include the control question. Practical aim: compress a threat or vulnerability into a form that can be shared with the contract creator or maintainer without tipping off the threat and without publishing it on chain or to the market. Example given: a typology of an AI attack on a particular contract. Collaboration was welcomed.

FASE work style and topic shortlist Time was given back (about ten to twelve minutes left). Growing BGIN and FASE was deferred in part to the business meeting. FASE was described as having had about 30 or 40 members, with an effort to grow back around topics the industry can use.

Near-term topics:

An agentic-finance lexicon.

An agent-identity crosswalk.

Machine-initiated payments and AML/CFT.

Illicit-finance measurement.

Also on the table, not in the first cut: a maturity rubric, a gap matrix, a crosswalk, an agent-payment sandbox, AI-found vulnerabilities, incident-trigger tagging, and [unverified: "Phys"], plus ideas from this session.

Working method urged: short papers before long ones. Two or three short papers were said to have been produced in the last couple of months, including a decentralized-compute paper and a stablecoin paper.

Of the four lead topics, machine-initiated payments plus AML/CFT and the identity crosswalk were called useful. A stated preference, not a vote: illicit-finance measurement first, so that if most agent payment volume is illicit the group can move early.

Close and the next day's track Discourse will hold the session results. The session was recorded; a report would be written from the recording. The document link was to be put in the chat again and on the website.

The same track the next day:

FASE industrial design of digital assets: a paper on challenges raised by digital assets in the Japanese market.

FASE decentralized compute market structure: business model, revenue, and what happens when compute becomes a commodity. It was described as possibly the first natively on-chain commodity that is not already legally defined. Gold in RWA markets was the contrast: gold was already a commodity.

Stablecoin pools, global outlook. Content was still being set; a "several-point market" was the likely frame [unverified contributor label in the caption].

Next session at 15:40, after about a 15-minute break. That next session is security of the supply chain.

Matters not resolved

Whether loss follows keys, capability, or the mandate, and whether the accountable party is the user, the smart-contract deployer, the model provider, the wallet, or the attacker.

Deployer-versus-developer-versus-firm liability for contract failure, reopened because agents will call those contracts.

Prompt injection: attacker first, but with a remaining duty on deployer, model maintainer, and wallet; an inference/runtime air gap was a proposal, not a decision.

No x402 chargeback. A reverse payment was only an idea. A pre-settlement hold was also only an idea.

KYA subject: person, model, software instance, mandate, deployer, or user. Model poisoning and court-admissible identity are unsolved. SaaS terms that push liability to the user were treated as a poor map for agents that can spend.

What KYA-OS metadata must cover (model, hardware, TEE, location) and whether cloud operators are in scope.

Whether session keys or MPC co-signing are shared control for AML/CFT. No observed case of an agent holding a shard. Threshold delegation (illustrative $100 and $500 cuts) was speculative.

Agent versus bot versus prediction-market agent, and whether missing on-chain services, missing labels, or both explain weak agent-payment volume.

Why x402 counts flattened, and how to read $4,000–$11,000 per month "full payments" against ~109 million transactions and $42–53 million settled.

Emissions versus revenue (Bittensor ~$370 million emissions and ~$17 million revenue; Render ~607Œ; the quarterly $253,000 case). Whether that is bad BD or a structural leak.

Which of the eleven gaps FASE/FASE takes first, and in which jurisdiction: illicit AI-vendor screening, pre-deployment AI testing, or engagement with standards bodies. Four of eleven have no owner for identity, mandates, tax, or disclosures.

Zero agent-specific transaction rules. Facilitator duty, authority to pay, and finality remain open. Travel rule was explicitly deferred.

Not enough payment volume yet, in one view, to prioritize a KYA-payments paper over identity.

Code-flaw loss totals in the caption are self-contradictory (modest increase versus more than the prior decade).

ERC-8004 population: ~600,000 self-declared profiles versus "a thousand entries.".

How to classify Cloudflare NET Dollar within the session's agent-payment categories remains open. AP2's contribution to the FIDO Alliance is confirmed.

Median exploit size ~$430,000 and "about 294" attacks: no source, window, or denominator was stated.

The $29 trillion XRP figure is a prevented mint, not a loss. Team name unverified.

Bounty figure "$2086,000" is ambiguous.

Disposition of the work

FASE was described as smaller than its earlier about 30–40 members, and as trying to grow back by picking topics with industry use. Output mode in the last couple of months: two or three short papers, including decentralized compute and stablecoins. This session was a landscape briefing plus a topic cull, not a drafting meeting. No paper was adopted. No jurisdiction was chosen. Agent-specific transaction rules were stated as absent. The Discourse thread is the record of this session.

Actions

Each action is written so that it can be tracked without the rest of the record. Where the room named only a person, the action is kept and the name is omitted.

Post the session document, slides, and (once the recording is usable) a report on Discourse and on the website.

Add to the research: Proof of Control RFC; KYA-OS; the Mermaid / braid-reasoning network; SaaS liability allocation; Cloudflare NET Dollar.

Prefer a short paper. Leading candidates: illicit-finance measurement; machine-initiated payments and AML/CFT; agent-identity crosswalk; an agent-payment sandbox (programmable compliance, freezing, travel rule, signed intents, micropayment licensing, data and IP).

Join the next day's Security Agent discussion on non-public sharing of AI-exploit typologies.

Optional later: an RFC-style ask to MPC custody firms on agents and key shards; a possible [unverified: "Ipp"]–FASE look at KYA if the identity problem, not payment volume, is the reason.

Same track next day: industrial-design paper, decentralized-compute market structure, stablecoin-pool outlook. The compute-session arrangements still required confirmation.

Coverage

This record covers the published afternoon session in Room A. The published slot is 14:00–15:30, after lunch, not the morning. Figures are reported session claims, not independently validated

measurements. Technical names are corrected where supported by the recording, chat, or identified primary documentation. Where a name could not be checked against another part of the same recording, it is left unverified rather than guessed. Logistics, introductions, and names of speakers are omitted.

The slice is one working session: landscape briefing, then discussion of accountability, KYA, x402/AP2, MPC, a sandbox, and FASE's shortlist. It includes the handoff to a 15:40 supply-chain session. It does not include an industry session or an investor session. Caption quality is poor (mixed Japanese fillers, overlapping speech, slide narration). Proper nouns and several headline numbers are not safe to publish without the slides. The three chat URLs above are all in scope for this slice. Posters were not discussed.

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Source clarifications and open checks

AP2's contribution to the FIDO Alliance is confirmed by the protocol's official documentation; contribution is not equivalent to final standard adoption.

Projects and parties: "language" (beside Sentient); "follow network"; "all network"; "AI Sahara"; "a cash"; "either"; "big gad" / "analysis"; "Decode"; "open serve"; "Gigbt Astra"; "AI 16Z" / "AI sequency"; "Phys"; "Ipp"; "Desigue"; the stablecoin-session content owner.

ERC-8004: ~600,000 self-declared profiles versus "a thousand entries.".

x402: "109 2 million" transactions; $42–53 million settled; $4,000–$11,000 per month full payments; average size "0.0006 to a cent"; 60–90 million transactions in ~9 months and ~70% of count in the prior ~3 months.

"About 294" attacks; code-flaw dollar totals; median ~$430,000; bounty "$2086,000"; 40 wallets and ~$20,000; 17–20 illicit-AI sites; Silk Road comparison.

The XRP figure is a theoretical exploit valuation in the Veria Labs disclosure, not an observed loss. It must not be added to realized-loss totals.

$387 million AI-assisted recovery: parties unverified.

Bittensor captioned as "bit tensor." Emissions ~$370 million and revenue ~$17 million; Render ~607Œ; quarterly revenue ~$253,000.

On-chain agent value ~$25 billion to ~$3.9 billion; industry "~$2.5 billion"; Morgan Stanley $5 billion to $47 billion; "trillions" over 10–15 years. These were not defined as the same series.

"4 of 11" with no role on identity, mandates, tax, or disclosures.